

Moving from SAP ECC to SAP S/4HANA

Key Takeaways

- ⇒ An overview of SAP S/4HANA's new features.
- ⇒ A discussion of how companies are going to move from SAP ECC to SAP S/4HANA with a lowdown on migration strategies.

Since SAP S/4HANA was launched in 2015, it has streamlined finance, accounting, manufacturing, sales, and human resources for companies of all sizes. Its benefits are multi-fold and will be discussed alongside any disadvantages that may arise when considering a shift over from one ERP to the other.

Support for SAP ECC (SAP Enterprise Central Component) is going to come to a full stop in 2027 meaning all companies using SAP will need to make the switch over to SAP S/4HANA

SAP S/4HANA runs on the HANA (high performance analytic appliance) database which is SAP's in-memory relational database management system. It allows for faster data processing and real-time insights in a more efficient way than SAP ECC. While SAP ECC used to run on multiple databases, SAP S/4HANA is optimized to run on a single database which is deployed in the cloud. One of the advantages of the new version of SAP is that it doesn't require on-premise infrastructure. S/4 is also more secure in of itself to cyber threats with enhanced cybersecurity functionality.

SAP S/4HANA's use of a universal journal in its finance module is unique for consolidating data into a single table. While SAP ECC used multiple tables, SAP S/4HANA puts data from financial accounting, asset accounting, controlling transactions and material ledger into one place. SAP S/4HANA has enhanced utility when it comes to eliminating redundant data automatically.

It is to be noted that SAP S/4HANA has an improved user experience with tools that are easier to use and require less training for companies trying to employ the software. SAP S/4HANA uses Fiori (developed using JavaScript) as a design system for improved UI, thus far improving user satisfaction. Additionally, with the advent of AI technologies, SAP S/4HANA doesn't fall behind in taking advantage of artificial intelligence and machine learning.

SAP S/4HANA embeds AI and machine learning capabilities directly into business processes to automate routine tasks and recommend actions. For example in the realm of sales and customer service, machine learning can analyze historical sales to forecast future demand, improving inventory and production planning. In the realm of the supply chain, S/4 can use machine learning to optimize stock levels, reduce excess inventory and avoid stockouts by analyzing trends and variability. Within SAP's human resources capabilities, AI helps match candidates to job profiles and suggests learning paths based on skill gaps to both candidates and current employees.

MRP Live, a new functionality, uses fewer intermediate or temporary tables during MRP runs.

For a company to switch from SAP ECC to SAP S/4HANA, they need to undertake a major digital transformation. The brownfield approach to migration is advantageous for preserving existing configurations, though a bigger company may want to engage in selective data transitioning.

First, a company will need to make sure inconsistencies in finance and controlling transactions are cleared, then consider stakeholder alignment carefully before investing in the switch.

Companies switching over will also need to adapt any Z-programs that one's company has to S/4's data model. This can be done by refactoring redundant code and merging logic where necessary. It's advisable to perform integration tests for all of the company's modified programs within SAP before making the switch.

Thankfully, companies have help from SAP Readiness Check, a tool SAP released to help customers (of the software) migrate to SAP S/4HANA. The tool gives users an overview of potential issues, required actions, and aspects of the current ERP that need attention.

SAP Note Analyzer is another tool that will actually extract reports, put data into a zip file, and then provide users with a dashboard report that will provide actionable insight to plan and execute migration.

For selective data transitioning you can use SAP's DMLT (data management and landscape transformation) service allowing you to move a chosen subset of data, configurations and business processes instead of performing a full system copy. For example, a company may want to leave historical data in SAP ECC for auditing, and migrate open data to S/4. SAP has tools to help you perform this task as well as consulting services.

Lastly, to make the transition over, keep in mind that your company will need to hire new employees with expertise in SAP S/4HANA or upskill current employees.